

TRANSPORT SECTOR - Uganda Revenue Authority

 ura.go.ug/en/transport-sector/

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The transport sector in Uganda puts more emphasis on passenger and goods vehicles for tax purposes.

All businesses in the transport sector in Uganda are required to be registered with

- Ministry of Works and Transport for licenses
 - Uganda Revenue Authority (URA) for taxes
 - For non-individual you can register a company name with URSB.
 - Secure a third party or comprehensive policy with any insurance company.
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For individual

- National ID
- Certificate of registration

For non-individual

- Company Form 20
- Certificate of incorporation

[Click here](#) for more information on registration

- You're required to visit the URA portal on ura.go.ug
- [Click here](#) to register as an individual
- [Click here](#) to register as a non-individual

In case you cannot register online, visit the nearest URA office for assistance or call the toll-free line **0800117000/0800217000** or WhatsApp: **0772140000**

As a taxpayer, you're entitled to your rights. Equally, there are obligations that you must fulfill.

[Click here](#) for your rights and obligations as a taxpayer

Advance Income tax – for all players

Advance income tax is paid by passenger service vehicles and goods/freight vehicles.

Owners of such vehicles are required to pay Advance income tax once every year for each vehicle.

Please note

At Transport Licensing Board (TLB), you will be issued a single assessment (PSV + Advance income tax).

Pay As You Earn (PAYE) – paid by employees in this sector who earn above UGX 235,000 per month. The employer withholds on the employee's salary and remits it to URA.

[Click here](#) for PAYE rates

Withholding tax – will be paid by the vehicle owner in case you supply services to a designated withholding agent when the invoice value is above UGX 1,000,000

Value Added Tax (VAT) – for players who generate income from transport service that exceed UGX 150,000,000 in a given year, are expected to collect VAT on every transaction that is invoiced (EFRIS)

The rates of Advance income tax are stated below:

Sn	Type of vehicle	Amount (in UGX) per ton or passenger per year
1.	Motor cycle	20,000 per seat per year
2.	Passenger Service Vehicles (PSVs)	20,000 per seat per year
3.	Goods/freight vehicles above 2 tones	50,000 per ton per year

Non- individual income tax

The income tax rate for a company is 30% of the entity's chargeable income (gross income less allowable deductions).

Please note

What you have paid under Advance income tax is credited/reduced on the tax payable in the final income tax return.

Individual income tax

The income tax rate for individuals depends on the income bracket in which the individual falls.

Players in this sector are reminded to file a final Income tax return at the end of every year. This will help them offset what has been paid in the course of the year

[Click here](#) for Income tax rates

Please note

At the end of the year, URA advises you to file your final income tax return to provide for all expenses incurred in the course of the year (for individuals and non-individuals).

[Click here](#) for details on return filing

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- Visit the URA web portal on ura.go.ug
 - Click on e-Services, Payment registration
 - Input your TIN
 - Select tax head as Income tax – Advance tax for motor vehicles
 - Select original assessment
 - Input your vehicle registration number
 - Input TIN
 - Select the assessment year
 - Enter text from the given image
 - Click submit
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INCOME TAX

Beneficiary	Incentives	Period of Incentive	Conditions for the Tax Incentive
Aircraft Operators	Income Tax exemption for Aircraft Operators	Indefinite	Applies to persons engaged in air transport for domestic and international traffic or aircraft leasing.

Foreign transporters	Exemption of income derived from transportation of passengers or goods or mail embarked outside Uganda	Indefinite	Transportation of passengers or goods or mail must have embarked outside Uganda
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Description	Tax incentive
Commercial Vehicles of gross weight 20 tonnes and above.	Free of import duty for one year, VAT is payable
Road Tractors for semi – trailers.	Free of import duty for one year, VAT is payable.
Goods carrying vehicle with gross vehicle weight exceeding 5 tones but not exceeding 20 tonnes	Import duty is 10% instead of 25% for one year
Ships and other vessels include the following 1. Passenger and cargo vessels of all kinds of twenty-five tonnage net weight or more 2. Cable ships, floating factories, whale catching vessels, trawlers and other commercial fishing vessels EXCEPT sport fishing vessels 3. Weather ships, hopper barges, lighters and pontoons (being flat decked vessels used for transportation of persons or goods) 4. Ferry boats, parts and accessories EXCEPT batteries and sparking plugs	Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004